

BASE = same month last year + 25% of supply cuts - 50% of positive DAs

cuts and DAs of that same month last year

FORECAST = BASE × (1 + 12-month trend of house × size)

HOW IT WORKS

- **Trend** = sum of the last 12 closed months / sum of the 12 months before - 1, using actual shipments only.
- **Group** = house × size: minis/pen sprays (up to 15 ml), 20-40 ml, 45-60 ml, 75-125 ml, 150 ml+/refills, ancillaries.
- **Products included** in the trend: everything Central, launches included once they have 6+ months of shipments.
- **Cap**: the trend is limited to ±30%. It multiplies: a -10% trend means base × 0.90.
- **Each S&OP cycle**: final number = average of this rule and consensus; then scale the remaining months by actual / forecast of the months just closed.

EXAMPLE · ONE EAN, OCTOBER

Shipments last October	1,000
+ 25% of last October's cuts (200)	+50
- 50% of last October's positive DAs (100)	-50
Base	1,000
× (1 + trend -10%)	× 0.90
Forecast this October	900

WHY EACH PIECE IS THERE

Why last year's same month?

Fragrance has a strong seasonality that repeats every year: retailers load stock for Christmas from August to December. Last year's month already carries that shape, so we don't have to model it.

Why a 12-month trend, not 3 or 6?

Short windows overreact to one bad month: a supply cut or a shipment that moved from one month to the next. Twelve months cover a full season, so the direction is real and not noise.

Why house × size, not each EAN?

A single EAN's trend is noisy: one big order or one delisting changes it completely. Grouping similar products gives a stable signal, and sizes really behave differently (minis do not move like 50 ml).

Why include recent launches in the trend?

New products partly replace older ones. Leaving them out would show only the decline of the old range and overstate the drop.

Why only 25% of the cuts?

A cut month understates true demand, so we add some of it back. But cuts are inflated: retailers repeat the same order every week, so only a quarter is real lost demand.

Why remove 50% of the positive DAs?

Last year's promotions and one-off volumes should not repeat automatically. Only half, because part of the DAs are market inputs that do come back.

Why average with consensus and correct each cycle?

The statistical rule tends to be conservative and consensus tends to be optimistic; the average balances both. Scaling by actual / forecast lets the forecast react within months instead of waiting a year for the trend to catch up.

ADJUSTED MONTH = shipments + min(10% of cuts ; 10% of shipments) - 25% of positive DAs

BASE = average of the last 6 adjusted months

FORECAST = BASE × (1 + 50% of the 12-month trend of the category)

same number for every future month

HOW IT WORKS

- **Category** = Face, Lips or Eyes within each brand family.
- **Trend** = sum of the last 12 closed months / sum of the 12 months before - 1, actual shipments only. Apply half of it, capped at ±30%.
- **Cuts**: add the smaller of 10% of the month's cuts or 10% of the month's shipments.
- **Products included**: everything Central (6+ months of shipments).
- **Each S&OP cycle**: recalculate the 6-month average and the trend with the latest months. No correction factor, no blend with consensus.

EXAMPLE · ONE MONTH INSIDE THE AVERAGE

Shipments	1,000
+ min(10% of 3,000 cuts ; 10% of 1,000)	+100
- 25% of positive DAs (200)	-50
Adjusted month	1,050
Base = average of 6 such months	1,050
× (1 + 50% of a -20% trend)	× 0.90
Forecast for every future month	945

WHY EACH PIECE IS THERE

Why no seasonality?

Consumers do buy more makeup in December, but our shipments don't follow a repeatable monthly pattern: they are driven by launches, pipeline fills and order timing. Copying last year's month would copy that noise.

Why the average of the last 6 months?

It shows the current selling pace and smooths out one-off spikes. Six months reacts to real changes without chasing a single big order.

Why the same number for every month?

Without a stable seasonal shape, a flat run-rate is the honest forecast. Peaks and dips are corrected as the months arrive.

Why only half of the trend?

The 6-month average already contains part of the recent trend. Applying the full trend on top would count the same movement twice.

Why a trend by Face / Lips / Eyes?

The categories grow and decline at different speeds. One trend for the whole brand would hide that.

Why only 10% of the cuts?

When an item is cut, retailers keep re-ordering the same quantity week after week, so the recorded cuts count the same demand several times. In makeup this re-ordering is much heavier than in fragrance, so the cuts are heavily inflated and only about one tenth of them is real lost demand.

Why only 25% of the DAs?

The base is already an average of six months, so a single promotion is diluted. Removing more would cut growing lines too hard.

Why recalculate instead of a correction factor?

A rolling average updates itself with the latest reality every cycle. An extra correction factor would add noise, not accuracy.